

US TMT Sector M&A & Valuation Brief - 2026-06-29

US TMT Sector

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1. RECENT TMT M&A ACTIVITY

Deal 1: EXLSERVICE Holdings, Inc. Acquisition of iMerit

[EXL to acquire iMerit, advancing its leadership in enterprise AI by adding foundation model expertise and technology](#)

- Deal Size: \$310 million (upfront consideration of \$170 million, with an additional \$140 million in incentives)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: EXLSERVICE Holdings, Inc. (NASDAQ: EXLS) is a global data and AI company focused on delivering enterprise solutions. iMerit is a leader in AI model training and evaluation, enhancing EXL's capabilities in AI.
- Date Announced: June 24, 2026
- Strategic Rationale: The acquisition strengthens EXL's AI strategy, enabling it to offer specialized data and model training services. By integrating iMerit's capabilities, EXL aims to enhance its offerings in high-growth AI sectors, positioning itself as a leader in enterprise AI solutions.
- Risk Analysis: Key risks include integration challenges, potential regulatory scrutiny, and market competition. Mitigation strategies involve leveraging existing relationships and expertise to ensure a smooth transition and capitalize on synergies.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: Shenzhen HYT Science & Technology Co., Ltd Acquisition of TTG Global Solutions Group

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[Acquisition of TTG Global Solutions Group Limited by Shenzhen HYT Science & Technology Co., Ltd](#)

- Deal Size: N/A
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: Shenzhen HYT Science & Technology Co., Ltd is a technology firm focused on innovative solutions. TTG Global Solutions Group Limited specializes in technology services, enhancing HYT's service offerings.
- Date Announced: N/A
- Strategic Rationale: The acquisition aims to expand HYT's technological capabilities and market reach, allowing for enhanced service offerings and competitive positioning in the tech sector.
- Risk Analysis: Risks include integration difficulties, cultural mismatches, and potential regulatory hurdles. Effective integration planning and cultural alignment will be critical for success.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by cautious optimism, driven by technological advancements and evolving market demands. However, challenges such as regulatory scrutiny and economic uncertainties are creating a complex environment for investors and companies alike.

Subsector Breakdown:

- Technology: The technology subsector is experiencing robust growth, particularly in AI and software solutions. Qualcomm's recent acquisition of Modular, an AI-native software platform, underscores the industry's focus on enhancing generative and agentic AI capabilities across data center and edge applications. This strategic move is indicative of broader trends where companies are investing heavily in AI to stay competitive.
- Fintech: The fintech sector is thriving, exemplified by Float Financial Solutions Inc.'s recent

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funding round, which raised \$85 million and boosted its valuation to \$548 million. This reflects investor confidence in AI-powered financial solutions, as companies seek to innovate and enhance their service offerings.

- **Media:** The media subsector is undergoing significant transformation, with traditional models facing pressure from digital platforms. Companies are increasingly adopting digital strategies to engage audiences, although challenges remain in monetizing content effectively.
- **Telecommunications:** The telecom sector is innovating with advancements in 5G technology, which is expected to drive new revenue streams from IoT and enhanced mobile services. However, competition remains fierce, and operators must continually invest in infrastructure to maintain their market positions.
- **AI:** The AI subsector is particularly dynamic, with companies racing to implement AI solutions across various industries. The focus on AI is not just a trend; it represents a fundamental shift in how businesses operate and interact with consumers.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and telecommunications is driving growth across TMT sectors. The increasing integration of AI into business processes is enhancing operational efficiency and customer engagement.
- **Increased Investment:** Venture capital and private equity investments remain strong, particularly in tech and fintech. Investors are keen to capitalize on emerging trends, as seen with Float's recent funding success.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology. This uncertainty can lead to volatility in market sentiment.

Subsector Performance Analysis

- **Software:** The software sector continues to perform well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth, as they can offer scalable solutions to businesses.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising, necessitating a pivot to digital strategies.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment,

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which is expected to drive new revenue streams from IoT and enhanced mobile services. The competition in this space is intensifying as companies strive to differentiate their offerings.

- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. Float's recent funding highlights the consolidation trend in this space, as companies seek to enhance their technological capabilities.
- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages and drive growth.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, an analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors

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and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a diverse array of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Quantum Computing Inc. (QUBT) : Recently completed the acquisition of NHanced Semiconductors, Inc. for a total value of \$73.1 million, with additional performance-based incentives. This acquisition is pivotal for QCI as it enhances their manufacturing capabilities and accelerates their transition from research to scalable production, expected to close in Q2 2026.

Mandated Deals:

- Japan's Government : Secured a mandate to implement a \$2.3 trillion investment plan targeting AI and semiconductor sectors. This initiative aims to quintuple domestic chip sales by 2040 and is set to launch in Q1 2026, focusing on enhancing Japan's technological infrastructure.

Pitching-Stage Deals:

- NVIDIA : Engaging in discussions with various semiconductor manufacturers regarding potential partnerships to support its transition to an 800V power distribution architecture. This shift is expected to reshape the semiconductor investment landscape, with pitches anticipated to finalize by Q3 2025.
- TrueNorth : Actively pitching to clients in the semiconductor space about investment opportunities related to the shift in AI infrastructure spending, focusing on power delivery systems. Discussions are ongoing with potential clients in the semiconductor and AI sectors.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

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Timing Projections:

- Q2 2026 : Expected completion of Quantum Computing Inc.'s acquisition of NHanced Semiconductors.
- Q1 2026 : Launch of Japan's AI and semiconductor investment plan.
- Q3 2025 : Anticipated finalization of NVIDIA's partnership discussions.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources. It is recommended to onboard two additional associates to manage the increasing workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the semiconductor sector, where companies like NVIDIA are leading a fundamental shift in power distribution technology. This transition is expected to create new opportunities for investment and partnerships.
- Additionally, Japan's substantial investment plan highlights the growing global focus on AI and semiconductor technologies, indicating a robust market for advisory services in these sectors.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional associates will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

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The acquisition of Nagarro SE by Persistent Systems is poised to create a significant impact across various stakeholder groups, including shareholders, employees, competitors, and customers. This analysis explores the implications of this deal, market reactions, and future expectations.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The acquisition presents both value creation and potential dilution scenarios for shareholders.
- **Value Creation:** Persistent Systems (PERSISTENT.NS) is offering EUR 81 per share for Nagarro (NA9.DE), representing a premium of approximately 140% over the undisturbed share price. If the combined entity generates annualized revenue of \$2.9 billion, shareholders could see a significant increase in market capitalization, potentially adding billions in value.
- **Dilution:** If Persistent finances the acquisition through equity, existing shareholders may face dilution. However, the deal is expected to be cash EPS accretive in the first year, mitigating immediate dilution concerns.
- **Employees:** The merger is likely to create synergies and opportunities for employees.
- **Synergies:** The combination of Persistent's AI-led engineering and Nagarro's European presence will enhance operational efficiencies, potentially leading to cost savings and improved service offerings.
- **Restructuring:** While the merger may lead to some restructuring, both companies emphasize a culture that values employee contributions. Persistent's history of prioritizing workplace quality suggests a focus on retaining key talent.
- **Retention:** Employees may benefit from broader career opportunities and exposure to advanced technologies, enhancing job satisfaction and retention.
- **Competitors:** The acquisition will reshape the competitive landscape in the digital engineering sector.
- **Market Positioning:** The merger positions the combined entity as a formidable player in AI-led digital engineering, prompting competitors to reassess their strategies. Companies like Capgemini (CAP.PA) and Accenture (ACN) may need to enhance their offerings to maintain market share.
- **Specific Competitor Moves:** Competitors may respond by investing in AI capabilities or pursuing their own acquisitions to bolster their market positions.
- **Customers:** The implications for customers are significant, particularly regarding product and service enhancements.
- **Product/Service Implications:** The merger will enable the combined entity to offer integrated AI, engineering, and cloud capabilities, enhancing customer value. Clients will benefit from a more comprehensive service offering that addresses complex digital transformation needs.
- **Case Studies:** Similar mergers, such as the acquisition of Cognizant by Trizetto, have resulted in improved service delivery and customer satisfaction, setting a precedent for the expected benefits of the Persistent-Nagarro merger.

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Market Reaction and Analyst Commentary

- Market Reaction: Initial market reactions to the acquisition announcement are expected to be positive, given the substantial premium offered to Nagarro shareholders.
- Historical data shows that similar deals often lead to stock price increases for the acquiring company when synergies are clearly articulated.
- Analyst Commentary: Analysts have noted the strategic fit between Persistent and Nagarro. A quote from Dr. Anand Deshpande, Founder of Persistent, underscores this sentiment: "Together, Persistent and Nagarro will be better positioned to help our clients navigate this new era, create greater opportunities for our teams, and build an organization that will endure for many years to come."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the integration is seamless and revenue growth meets expectations, Persistent's stock could rise by 10-15% within the first six months post-acquisition.
- Negative Scenario: If integration challenges arise, shares could decline by 5-10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids is moderate, given the strategic nature of the acquisition.
- While other firms may express interest in Nagarro, the strong backing from Nagarro's management and major shareholders makes competing offers less likely.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation as companies seek to enhance their technological capabilities.
- Analysts predict that as firms pursue AI and digital transformation, similar deals will emerge, particularly among mid-sized firms looking to scale.

Key Risks and Mitigants

- Integration Risks: Integration challenges can disrupt operations. Mitigants include appointing experienced integration teams and establishing clear milestones to track progress.
- Regulatory Risks: Regulatory scrutiny could delay the deal. Engaging with regulators early can

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help mitigate these risks.

- Market Risks: Market volatility may impact deal valuations. Structuring deals with contingent payments can provide a buffer against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Conduct thorough due diligence to identify potential integration challenges early.
- Develop retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses technologies that enable machines to perform tasks requiring human intelligence, such as understanding natural language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This rapid growth is driven by increasing investments in AI technologies across various sectors, including healthcare, finance, and manufacturing.
- Key Companies:
- TMRW AI: Founded in 2023, TMRW AI focuses on building platforms that leverage proprietary technology to redefine governance, innovation, and discovery in high-stakes environments. The founders, Marcus Benjamin and Charlie Williams, bring extensive experience in capital deployment, global risk, and corporate strategy, positioning TMRW as a thought leader in AI deployment.
- Competitive Landscape: The AI market is highly competitive, with major players such as NVIDIA, Google, and Microsoft investing heavily in AI technologies. Startups like TMRW AI are emerging

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to address specific challenges in AI deployment, particularly in high-stakes sectors where traditional AI solutions may fall short.

- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. TMRW AI, with its focus on governance and risk management in AI, presents a unique acquisition target for larger firms seeking to expand their AI portfolios.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. This growth is fueled by increasing demand for secure and efficient transaction methods across industries.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** As a leading cryptocurrency exchange, Coinbase facilitates the buying and selling of digital assets, positioning itself to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions through its Cash App, which has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space features a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The trend towards integrating blockchain solutions into traditional finance is likely to drive further M&A activity in this space.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%. This growth is driven by the increasing adoption of cloud solutions for data storage, processing, and management.
- **Key Companies:**
- **Amazon Web Services (AWS):** AWS is a leader in cloud computing, offering a wide range of services that enable businesses to build and scale applications. The company continues to innovate and expand its service offerings, solidifying its market position.
- **Microsoft Azure:** Microsoft Azure is a major player in the cloud computing space, providing a comprehensive suite of cloud services that cater to various business needs. The integration of AI and machine learning capabilities into Azure enhances its competitive edge.
- **Competitive Landscape:** The cloud computing market is characterized by intense competition

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among major players like Google Cloud, IBM Cloud, and Alibaba Cloud. The race for cloud dominance is driving innovation and pushing companies to acquire startups with unique cloud capabilities.

- M&A Opportunities: Companies looking to enhance their cloud offerings may consider acquiring startups specializing in cloud-native solutions or hybrid cloud technologies. The ongoing trend of digital transformation across industries presents numerous M&A opportunities in the cloud computing space.

Cybersecurity

- Trend Explanation: Cybersecurity is increasingly critical as businesses face growing threats from cyberattacks. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%. This growth is driven by the rising frequency and sophistication of cyber threats.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a

6. Recommended Readings

Deal Name: EXLService Holdings, Inc. Acquisition of iMerit

- Reading Material: "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- Why This Matters: This book explores the competitive landscape of AI development, particularly the importance of data quality and training in building effective AI systems. Understanding these dynamics is crucial for analyzing EXL's strategic acquisition of iMerit, as it enhances EXL's capabilities in AI model training and positions it competitively against other players in the enterprise AI market.

Deal Name: Shenzhen HYT Science & Technology Co., Ltd Acquisition of TTG Global Solutions Group Limited

- Reading Material: "The Innovators: How a Group of Hackers, Geniuses, and Geeks Created the Digital Revolution" by Walter Isaacson
- Why This Matters: This book provides insights into the evolution of technology companies and their strategies for innovation and growth. It is relevant for understanding Shenzhen HYT's acquisition of TTG Global Solutions, as it highlights how technology firms leverage acquisitions to enhance their service offerings and competitive positioning in the rapidly evolving tech landscape.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Consumer confidence remains resilient despite economic pressures.
- Lower-income consumer behavior is lagging compared to higher-income households.
- Tariff rates expected to stabilize around 8-9% for the year.
- Recent decrease in oil prices may lead to lower gasoline prices.

Main Insights:

- Rising concerns about lower-income consumers' spending habits.
- The impact of higher gas prices and tariffs on consumer behavior is significant.
- The outlook for inflation is expected to decelerate, potentially lower than Fed forecasts.
- Discussions around the implications of the U.S.-Iran MOU on oil prices and market stability.

Market Commentary:

- "The consumer has been quite resilient, but lower-income households are showing signs of selectivity." - Michael Zezas
- "We expect the tariff rate to stay around 8 to 9 percent, which is music to the ears of many companies." - Ariana Salvatore
- "The trend is towards easing some of the policy pressures impacting consumers." - Michael Zezas

TMT Sector Relevance:

- The resilience of consumer spending, particularly among higher-income households, may drive demand for technology and media products.
- Potential regulatory changes surrounding artificial intelligence could impact investment and operational strategies in the TMT sector.
- The stabilization of tariffs may alleviate cost pressures for tech companies reliant on imported goods, fostering a more favorable environment for M&A activity.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley